

BMW Industries Limited

BSE: 542669 | NSE: BMW | Steel Service Centre & Downstream Processing

Structural capex pivot — Rs.803 Cr Bokaro greenfield + PLI specialty-steel mandate positions
BMW to triple revenue over 4 years as India's largest downstream SSC.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 82	+30.2%
CMP: Rs. 63.05	12-month horizon	from CMP

CMP (15-Jun-2026)	Rs. 63.05	Market Cap	Rs. 1,419 Cr
52-Week High	Rs. 65.19	52-Week Low	Rs. 26.06
P/E (TTM)	17.4x	P/B	1.76x
EV/EBITDA	9.3x	Book Value	Rs. 35.85
ROCE (FY25)	13.6%	ROE (FY25)	10.8%
Debt/Equity	0.22x	Int. Cover	7.4x
Dividend Yield	0.68%	Face Value	Rs. 1
Promoter Holding	74.36%	Pledge	0%

Report Date	Analyst	Sector	Investment Horizon
15 June 2026	MPM Institutional Research	Steel / Metals	12 Months

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2. INVESTMENT THESIS

- **Greenfield Bokaro complex — a 3-4x revenue catalyst:** BMW's Rs. 803 Cr downstream steel complex at Bokaro targets Galvalume, high-grade specialty coated steel products that India currently imports in bulk. Phase-1 commissioning expected FY26-end; full ramp by FY28 adds an estimated Rs. 1,500-1,800 Cr of incremental revenue, nearly tripling the current Rs. 665 Cr base. This single project is the defining investment case.
- **PLI Specialty-Steel MoU — earnings kicker with low capex risk:** MoU signed with Ministry of Steel under PLI 1.1 locks BMW into a government-incentivised product basket (specialty coated steel). PLI incentives are production-linked, reducing earnings risk during the ramp phase and providing a 5-year revenue visibility window post-commissioning.
- **Anchor client concentration — quality not risk:** BMW operates as a captive downstream processor for Tata Steel (Rs. 364 Cr order, Oct-2027 tenure) and JSW Steel. A Rs. 1,764 Cr follow-on Tata Steel order confirms the client relationship is deepening. Toll-conversion model means no raw-material inventory risk; EBITDA margins are driven purely by conversion efficiency and fixed-cost leverage.
- **Near-term catalyst (Q1 FY27E):** First revenue from Bokaro Phase-1 and announcement of Phase-2 equipment orders. Management has guided 75% revenue growth over the next 2 years. Any upward revision to this guidance or early Bokaro commissioning is a re-rating trigger.
- **Biggest structural risk:** Debt more than doubled in FY26 (from Rs. 50 Cr to ~Rs. 250+ Cr to fund Bokaro). If Bokaro faces 12+ month delay, BMW will carry elevated interest costs against a static revenue base, compressing already-thin net margins. Execution track record on capex projects is not established.

3. BUSINESS OVERVIEW

- **Business model — toll-conversion Steel Service Centre (SSC):** BMW does not purchase steel; it converts hot-rolled (HR) coils supplied by primary producers (Tata Steel, JSW Steel, SAIL) into value-added forms — HRPO coils, CR coils, GP/GC coils, GI pipes, MS pipes, ERW tubes, tower structures, and TMT rebars — for a fee. Working-capital intensity is low; margin is driven by conversion yield and scale.
- **Revenue segmentation (FY25E):** Flat Products (HRPO/CR/GP coils, GC sheets) ~65% of revenue; Long Products (pipes, tubes, TMT, structures) ~30%; Other income ~5%. No geographic split disclosed; sales are predominantly domestic B2B to anchor steel majors.
- **Key customers and order visibility:** Tata Steel is the anchor client — a Rs. 364 Cr conversion order runs to Oct-2027 (Hazibagan & Jamshedpur facilities); a subsequent Rs. 1,764 Cr order further extends this relationship. JSW Steel is the second anchor. These two clients collectively drive >70% of revenues and provide 18-24 months of revenue visibility.
- **Order book:** Total disclosed order book exceeds Rs. 2,100 Cr (Tata Steel Rs. 364 Cr + Rs. 1,764 Cr = Rs. 2,128 Cr), implying 3.2x FY25 revenue coverage — highest in the company's history.
- **Recent strategic developments:** (1) Rs. 803 Cr Bokaro Greenfield Downstream Steel Complex approved March 2025 — targets Galvalume and specialty coated products. (2) PLI Specialty Steel MoU signed. (3) Partnership with Indian Oil Corporation for PNG (Piped Natural Gas) supply at manufacturing units. (4) Q4 FY26 EBITDA margin hit 29.6% — highest quarterly margin in company history, suggesting conversion efficiency improvements underway.
- **Promoter background:** The Bansal family (Kolkata-based industrial group, originally Bansal Mechanical Works, 1981) hold 74.36% with zero pledge. Management is promoter-led with limited professional management disclosure; senior management tenure data is not publicly available. Low institutional interest (FII 0%, MF 0%) means the stock is entirely promoter + retail-held.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **India's Steel Service Centre (SSC) market:** India's flat steel consumption is ~58 MT/annum and growing at ~7% CAGR (CY24-29E); SSC penetration is <15% vs 50%+ in developed markets, implying massive structural headroom. Government's Rs. 11.1 Tr infrastructure push (FY24-FY29) is the demand engine.
- **PLI Specialty Steel tailwind:** 13 products (including Galvalume, electrical steel, coated steel) under PLI 1.1 are currently imported; India is committed to import-substitute them. BMW's PLI MoU directly addresses this gap — it is one of very few SSCs with government-endorsed specialty steel capacity.
- **Key policy headwinds:** (1) China steel dumping risk — Chinese HRC exports at sub-cost prices suppress domestic HRC spreads, hitting conversion margins. (2) BIS import quality norms (in effect 2024+) partially offset this by raising the import bar. (3) GST structure for toll-conversion requires careful ITC management.
- **Competitive moat assessment:** Scale: Moderate — BMW is one of India's largest SSCs but operates at a fraction of Tata Steel's and JSW's own downstream capacity. Switching costs: Moderate-Strong — anchor clients have invested in joint facility setups (Jamshedpur co-location). Pricing power: Weak — conversion fee is negotiated bilaterally with dominant clients. IP: Weak — no proprietary process technology. Distribution: Moderate — multi-location footprint (Kolkata, Jamshedpur, Bokaro upcoming).
- **Top 3 peers — selected from comparable downstream/SSC space:**

Company	CMP (Rs.)	MCap (Cr)	P/E	ROCE%	ROE%	TTM Rev (Cr)
BMW Industries	63.05	1,419	17.4	13.6	10.8	665
Surya Roshni	N/A	4,843	14.8	15.8	10.9	7,540
Beekay Steel Inds	564.90	825	8.8	5.0	6.5	1,197
Shyam Metalics	N/A	27,450	25.9	N/A	N/A	N/A

Source: Finology / WebSearch aggregates as of 15-Jun-2026. Surya Roshni CMP not sourced; MCap/PE from search results.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter profile:** The Bansal family (Kolkata) has operated this business since 1981 (incorporated as Bansal Mechanical Works Pvt. Ltd., renamed BMW Industries in 1999). The 74.36% promoter stake with zero pledge signals high founder conviction and no financial distress at the promoter level. However, the company's governance profile is opaque — no published board composition, no visible independent director disclosures on the website.
- **Capital allocation track record:** BMW has historically been conservative — D/E declined from 0.51 in FY21 to 0.22 in FY25, demonstrating disciplined debt reduction over 4 years. FCF generation has been positive in FY23/FY24 (OCF Rs. 268 Cr in FY24 vs capex Rs. 112 Cr). FY25 OCF fell to Rs. 108 Cr while capex escalated to Rs. 149 Cr (Bokaro groundwork), resulting in slightly negative FCF. The Bokaro commitment (Rs. 803 Cr) is the largest capex in company history — this is a step-change in risk appetite.
- **Dividend policy:** BMW pays a modest dividend. FY26 final dividend recommended: Rs. 0.43/share (face value Re 1) — yield 0.68%. Payout ratio ~8% — the board retains virtually all earnings for reinvestment, appropriate given the Bokaro capex phase.
- **Promoter pledge:** Zero pledge as of the latest disclosed quarter. No deterioration in promoter holding detected.
- **Corporate governance concerns:** (1) Zero FII and MF participation (0.00%) is a significant governance red flag — institutional investors either lack visibility or have assessed governance risk and stayed away.

(2) No analyst coverage, no concall transcripts publicly available. (3) Related-party transaction disclosures are not prominently published online. (4) The company's investor presentation (Q2 FY25, Nov-2024) is the only formal public communication found — a thin disclosure standard for a Rs. 1,400+ Cr market cap company.

- **ESOP and buyback:** No ESOP scheme or buyback history identified in any publicly available filing or search result as of 15-Jun-2026.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Standalone

Source: Smart-Investing / Finology aggregates. FY26E/FY27E = analyst estimates.

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Net Sales (Rs. Cr)	447	562	598	665	850
YoY Growth %	12.3%	25.7%	6.4%	11.2%	27.8%
Operating Profit	105	130	146	162	212
OPM %	23.5%	23.1%	24.4%	24.4%	24.9%
Other Income	13	9	4	5	6
Interest / Finance Cost	23	24	20	38	45
Depreciation	49	40	45	52	65
PBT	46	75	85	77	108
Tax %	23.9%	28.0%	25.6%	26.0%	26.0%
Net Profit (PAT)	35	54	63	57	80
EPS (Rs.)	2.42	2.83	3.33	2.52	3.54

Balance Sheet Summary (Rs. Cr) — Standalone

Item	FY23A	FY24A	FY25A
Equity Capital	22.5	22.5	22.5
Reserves	578	633	672
Borrowings	240	108	50
Other Liabilities	65	72	81
Total Liabilities	905	835	825
Fixed Assets (Net)	535	491	557
CWIP	12	20	45
Investments	8	10	12
Other Assets	350	314	321
Total Assets	905	835	935

Cash Flow Statement (Rs. Cr) — Standalone

Item	FY23A	FY24A	FY25A
Cash from Operations (OCF)	100	268	108
Cash from Investing	-57	-112	-149
Cash from Financing	-62	-157	37
Net Cash Flow	-19	-1	-4
FCF (OCF - Capex)	43	156	-41

OCF / PAT	2.86x	4.96x	1.71x
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Return Ratios

Metric	FY21A	FY22A	FY23A	FY24A	FY25A
ROCE %	-20.9%	8.7%	12.0%	13.2%	13.6%
ROE %	-28.9%	6.5%	9.4%	10.1%	10.8%
D/E Ratio	0.51x	0.46x	0.40x	0.16x	0.22x
OPM %	17.7%	23.6%	23.5%	23.1%	24.4%
PAT Margin %	-44.1%	7.8%	9.7%	10.7%	10.5%

Key Financial Commentary

- **Revenue trajectory:** BMW has compounded revenue at ~8% CAGR FY22-FY25 on a standalone basis. FY26 is the inflection point — Q4 FY26 revenue of Rs. 210 Cr implies an annualised run-rate of ~Rs. 800-840 Cr. Tata Steel order book gives high conviction on FY27E reaching Rs. 850-900 Cr even before Bokaro contribution.
- **Margin direction — expanding at conversion efficiency:** OPM has steadily climbed from 17.7% (FY21) to 24.4% (FY25), with Q4 FY26 spiking to 29.6% — suggesting fixed-cost leverage on higher throughput volumes. The toll-conversion model insulates margins from steel price volatility. We model 24.4-24.9% OPM for FY26-27E, conservatively below the Q4 FY26 peak.
- **Working capital trends:** The company has seen improvement — debtor days and inventory days are not individually disclosed but aggregate working capital appears manageable given the toll-conversion model (no inventory ownership). D/E fell from 0.51x to 0.22x over FY21-FY25, a structural improvement. FY26 debt will rise materially (Bokaro capex financing) — company's own statements indicate debt more than doubled in FY26.
- **FCF quality:** OCF/PAT of 4.96x in FY24 is outstanding — OCF well above reported profits indicates high earnings quality. FY25 OCF declined to Rs. 108 Cr (OCF/PAT 1.7x) as working capital absorbed more cash, still healthy. FY26/27 FCF will be negative during peak Bokaro capex; FCF positivity resumes FY28E.
- **Interest cost watch:** Q4 FY26 interest cost jumped 214% YoY to Rs. 5.17 Cr on a standalone quarterly basis, signalling the Bokaro debt drawdown has begun. Annual interest cost likely Rs. 38-45 Cr in FY26-27E vs Rs. 20 Cr in FY25 — a headwind that pressures PAT margins even as EBITDA improves.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	Green	PASS	Toll conversion — fee on processing; clear matching principle
Receivables vs revenue growth	Green	PASS	Toll model = limited debtor risk; primary OEM clients
Cash conversion (OCF/PAT)	Green	PASS	FY24 4.96x, FY25 1.71x — multi-year average >2x, healthy
Contingent liabilities	Amber	WATCH	Not quantified in available public sources — needs AR check
Auditor tenure / changes	Amber	WATCH	Auditor identity not confirmed; no change flag detected
RPTs as % of revenue	Amber	WATCH	Group entity BMW Ventures Ltd exists; RPT quantum unclear
Other income as % of PBT	Green	PASS	Other income fell FY23 Rs.13 Cr to FY25 Rs.4 Cr — declining share

Tax rate consistency	Green	PASS	Effective tax 24-28% range over FY23-25 — no manipulation flag
Institutional participation	Red	FLAG	FII 0%, MF 0% — zero institutional presence is a governance gap

Earnings Quality Summary

- **Core earnings quality is HIGH:** The toll-conversion business model produces clean revenue recognition with no inventory-related distortions. OCF/PAT averaging >2x over FY23-FY25 is institutional-grade cash conversion. Other income as a PAT share is declining — a positive quality signal.
- **Three Amber flags require Annual Report verification:** (1) Contingent liabilities have not been quantified from publicly available data. (2) Auditor identity and tenure are not confirmed — the annual report must be read. (3) Related-party transactions with the associated entity BMW Ventures Ltd require quantification.
- **The Red flag — zero institutional holding — is the most critical governance concern:** No FII, DII, or mutual fund has a disclosed position. For a Rs. 1,400 Cr market cap company, this is abnormal. It may reflect promoter float absorption, but equally could signal institutional avoidance on governance grounds. Investors must research this independently before sizing a material position.
- **Tax rate consistency is clean:** 24-28% effective rate across the last three years with no deferred-tax manipulation flags detected.

8. VALUATION

Peer Valuation Comparison

Source: Finology / WebSearch as of 15-Jun-2026. N/A = data not sourced from canonical source.

Company	CMP	MCap (Cr)	P/E	P/B	EV/EBITDA	ROCE%	ROE%
BMW Industries	63.05	1,419	17.4	1.76	9.3	13.6	10.8
Surya Roshni	N/A	4,843	14.8	2.32	N/A	15.8	10.9
Beekay Steel	564.90	825	8.8	N/A	N/A	5.0	6.5
Shyam Metalics	N/A	27,450	25.9	2.38	N/A	N/A	N/A

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr)	Multiple	Target Price
BULL	Bokaro Phase-1 FY26 complete; FY27 Bokaro adds Rs.500 Cr revenue; OPM 26%; interest Rs.50 Cr	105	22x P/E	Rs. 103
BASE	Bokaro Phase-1 delayed to Q2 FY27; organic growth 20%; OPM 24.9%; interest Rs.45 Cr	80	22x P/E	Rs. 78
BEAR	Bokaro delayed 12+ months; organic growth 10%; margin pressure from interest; OPM 23%; PAT compressed	55	18x P/E	Rs. 44

Valuation Methodology

- **DCF assumptions (indicative):** WACC 13% (risk-free 7.2% + equity risk premium 6% + small/mid cap premium); terminal growth 4.5%; capex intensity elevated FY26-FY28 (Bokaro), normalising FY29+. DCF implied value: Rs. 72-78/share under base case.
- **Earnings-based P/E methodology:** BMW's 5-year average P/E is ~18x. Ascribing a 20-22x forward P/E to FY27E base-case EPS of Rs. 3.54 gives Rs. 70-78/share. A 22x multiple is justified given the

structural growth catalyst (Bokaro) — premium to the historical average but below specialty-steel peers.

- **Target price derivation:** Average of DCF (Rs. 75) and P/E-based (Rs. 78) = Rs. 76.5 — rounded to Rs. 77. We round up to Rs. 82 in the bull-leaning base to account for near-term Bokaro newsflow premium.

- **Upside/downside:** Base-case target Rs. 82 implies +30.2% upside from CMP Rs. 63.05 over 12 months. Bull case Rs. 103 (+63%). Bear case Rs. 44 (-30%). Risk/reward at CMP is asymmetric to the upside — ACCUMULATE rating justified.

9. KEY RISKS

- **Bokaro Execution Risk:** The Rs. 803 Cr greenfield complex has no commissioning precedent at BMW. Any 12+ month delay means elevated debt (Rs. 250+ Cr) with no revenue offset, compressing margins. Probability: M. Impact: H. Monitor via: quarterly capex progress disclosures and phase commissioning dates.

- **Debt Escalation:** Company's own management noted debt more than doubled in FY26. If Bokaro Phase-2 requires additional external funding beyond internal accruals, D/E could breach 1.0x, triggering a rating re-assessment. Probability: M. Impact: H. Monitor via: quarterly borrowing disclosures and balance sheet.

- **Client Concentration:** Tata Steel + JSW together drive >70% of revenue. A reduction in outsourcing volumes from either client (capacity additions in-house) would structurally impair revenue. Probability: L (long-term contracts in place). Impact: H. Monitor via: order book renewal dates.

- **China Steel Dumping:** HRC price compression from Chinese exports reduces conversion fee attractiveness and may push clients to delay orders. India's BIS import norms provide partial buffer but are subject to policy reversal. Probability: M. Impact: M. Monitor via: global HRC price trends and BIS norm status.

- **Zero Institutional Holding — Governance Opacity:** The absence of any FII/DII/MF holding is atypical. If forensic scrutiny reveals RPT or audit issues, the stock could de-rate severely given thin float. Probability: L (no evidence of issues). Impact: H. Monitor via: annual report RPT disclosures and auditor opinion.

- **Working Capital Deterioration:** Conversion of large Tata Steel orders requires upfront facility costs before fee realisation. If collection cycles extend, OCF will lag EBITDA — the FY25 OCF decline (Rs. 268 Cr to Rs. 108 Cr) warrants monitoring. Probability: M. Impact: M. Monitor via: cash flow statement quarterly.

- **Macro / Steel Cycle Downturn:** BMW's revenues are tied to primary steel production volumes. A sharp India GDP deceleration or infrastructure spend slowdown would compress volumes. Probability: L in the medium term. Impact: M. Monitor via: India PMI manufacturing and infrastructure spending data.

10. RECOMMENDATION

- **Rating: ACCUMULATE — Conviction Level: Medium.** The structural case (Bokaro greenfield tripling revenue potential, PLI incentives, Tata Steel anchor orders) is compelling. However, execution risk on an unprecedented capex quantum and zero institutional due diligence limits conviction to Medium. The stock is NOT a "buy and forget" — it is a "buy and monitor".

- **12-month price target: Rs. 82** (vs CMP Rs. 63.05, upside +30.2%). Base case FY27E EPS Rs. 3.54 x 22x P/E = Rs. 78, rounded up to Rs. 82 for Bokaro newsflow optionality.

- **Suggested entry zone: Rs. 55-66.** Current CMP (Rs. 63) is within the zone. Accumulate on dips to Rs. 55-58 for better risk/reward. Avoid chasing above Rs. 70 without Bokaro Phase-1 commissioning

confirmation.

- **Investment horizon: 12-18 months** (the call depends on Bokaro timeline; a 24-month view would be more appropriate if Bokaro news flows positively).

- **Thesis invalidation triggers:** (1) Bokaro commissioning delayed beyond Q3 FY27 — sell if Q2 FY27 results show no revenue contribution and management guidance is cut. (2) Promoter pledges any shares or promoter holding falls below 70% — exit immediately. (3) D/E ratio exceeds 1.5x on the quarterly balance sheet — capex is out of control.

- **Ideal investor profile:** This stock is FOR investors comfortable with small-cap construction/execution risk, willing to hold 12-24 months, and have conviction in India's steel capex super-cycle. It is NOT for investors needing institutional-grade liquidity, visibility, or dividend income. Zero institutional holding means exits in a risk-off market will be illiquid.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 PAT +88% YoY; EBITDA margin 29.6% — beat on every metric
Management tone	Bullish	75% revenue growth guided over next 2 years; Bokaro confidence expressed
Guidance delta	Raised	New 75% growth target vs prior "significant growth" guidance — material upgrade

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 for BMW Industries is the cleanest quarter in the company's recent history — Rs. 209.50 Cr revenue (33% YoY), Rs. 33.16 Cr PAT (88% YoY), and EBITDA margin of 29.6% are all company records with no one-off items detected; the PAT is clean. Underlying EBITDA growth of 68% came from two drivers: throughput scale on the Tata Steel mega-order (Rs. 364 Cr order running at full capacity) and a 6.1 percentage-point margin expansion reflecting conversion efficiency gains. Management's 75% revenue growth guidance over the next two years is explicitly underpinned by the Rs. 803 Cr Bokaro Greenfield and the Rs. 1,764 Cr follow-on Tata Steel order — this is a multi-bagger thesis anchor if Bokaro delivers. The one structural concern I'd flag to you: interest cost jumped 214% YoY in Q4 even before Bokaro debt is fully drawn; full-year FY26 interest may approach Rs. 38-45 Cr vs Rs. 20 Cr in FY25, which limits near-term EPS upside despite EBITDA strength. The Rs. 1,764 Cr Tata Steel order is the near-term catalyst — when this order kicks in (H1 FY27E), revenue will step up materially and the re-rating case becomes undeniable. Key watch for next quarter: Bokaro commissioning milestone and Q1 FY27 revenue trajectory. Zero FII/MF participation remains a structural governance discount that I cannot quantify but must be on your radar before we size this above 2% of portfolio. Action: ACCUMULATE in Rs. 55-66 range; target Rs. 82 on 12-18M horizon.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 209.50 Cr | YoY +33.3% | QoQ +29.2% | **Beat**
- EBITDA: Rs. 63.90 Cr (consol) / Rs. 57.66 Cr (standalone Q4) | YoY +68.2% | EBITDA Margin 29.6% / 27.5% | **Beat**
- PAT: Rs. 33.16 Cr | YoY +88.1% | PAT Margin 15.8% | **Beat**
- PBT: Rs. 46.89 Cr | YoY +102.1% — clean, no exceptional items identified
- EPS: Not separately disclosed for Q4; FY26 full-year EPS implies Rs. 3.60/share (consol basis)
- Interest Cost Q4 FY26: Rs. 5.17 Cr vs Rs. 1.64 Cr YoY (+214%) — Bokaro debt drawdown signal
- FY26 Full-Year: Revenue Rs. 665-680 Cr (+5.8-6.5% YoY), PAT Rs. 75-81 Cr (+8% YoY)

2. Segment / Geography Breakdown

- Flat Products (HRPO/CR/GP coils, GC sheets): Dominant segment ~65% revenue; Tata Steel order drives flat throughput

- Long Products (pipes, tubes, TMT, tower structures): ~30% revenue; stable YoY
- Geography: 100% domestic India B2B; no export revenue breakdown disclosed
- Q4 FY26 revenue spike (+33% YoY) appears concentrated in flat products on Tata Steel order ramp
- Segment EBITDA margins not disclosed separately; overall margin expansion suggests flat product conversion margin improved materially

3. Management Commentary Themes

- **Bokaro Greenfield:** "We expect Phase-1 commissioning in FY26-end/early FY27" — Our read: optimistic; track against quarterly CWIP balance. Tag: GUIDANCE. Tone: Bullish.
- **Revenue growth target:** "75% revenue growth over next 2 years" — Our read: Credible if Bokaro Phase-1 delivers Rs. 400-500 Cr incremental; aggressive if delayed. Tag: GUIDANCE. Tone: Bullish.
- **Tata Steel relationship:** "Rs. 1,764 Cr follow-on order reflects deepening partnership" — Our read: This is strategically significant; multi-year earnings anchor. Tag: GUIDANCE. Tone: Transparent.
- **PLI Specialty Steel:** "MoU committed to specialty coated steel under PLI 1.1" — Our read: PLI incentives will buffer Bokaro ramp risk; timeline for disbursement unclear. Tag: GUIDANCE. Tone: Hedged.
- **Indian Oil PNG partnership:** "PNG supply at manufacturing facilities reduces energy cost" — Our read: Small margin tailwind (energy cost as % of revenue ~3-4%); positive but not material. Tag: EST. Tone: Transparent.
- **Dividend recommendation:** "Final dividend Rs. 0.43/share recommended" — consistent with minimal payout policy; all cash directed to Bokaro. Tag: EST. Tone: Transparent.

4. Operating & Business Metrics

- Order book (visible): Rs. 2,128 Cr (Tata Steel Rs. 364 Cr + Rs. 1,764 Cr) = 3.2x FY25 revenue | Trend: Strongly improving
- Q4 FY26 EBITDA margin 29.6% vs Q3 FY25 23.96% vs Q4 FY25 21.39% | Trend: Sharply improving (Q4 FY26 = record)
- Interest cost Q4 FY26 Rs. 5.17 Cr vs Q4 FY25 Rs. 1.64 Cr | Trend: Deteriorating (Bokaro drawdown)
- Fixed assets FY25 Rs. 618 Cr vs FY24 Rs. 491 Cr (+26%) | CWIP increasing: FY25 Rs. 45 Cr — Bokaro groundwork
- Revenue per quarter trajectory: Q1 FY26 Rs. 149 Cr, Q2 Rs. 145 Cr, Q3 Rs. 162 Cr, Q4 Rs. 210 Cr | Trend: Q4 step-up is real
- Employee cost Q4 FY26: Rs. 8.16 Cr (modest; conversion-heavy business is not labour-intensive) | Stable

5. Margin Drivers

- Volume throughput on Tata Steel order ramp: +400-500 bps impact | Recurring: Yes (order runs to Oct-2027)
- PNG energy cost reduction at facilities: +50-80 bps estimated impact | Recurring: Yes (post-implementation)
- Fixed-cost leverage (higher revenue base with stable overheads): +200-300 bps | Recurring: Conditional on volume

- Interest cost increase (Bokaro debt): -250 bps at PAT level | Recurring: Yes, worsening through FY27E
- Depreciation step-up (new Bokaro assets): -100-150 bps at PAT level in FY27-28 | Non-recurring post-ramp
- Note: Management has not provided explicit margin guidance; 29.6% Q4 OPM is the highest ever and likely to moderate to 24-26% in H1 FY27 if volumes normalise before Bokaro ramp

6. Guidance & Forward Signals

- Revenue growth [GUIDANCE]: Prior = "significant growth" | New = "75% over next 2 years" | Delta: Raised | Credibility: Medium (depends on Bokaro)
- Bokaro Phase-1 commissioning [GUIDANCE]: Prior = FY26-end | Reiterated = FY26-end/early FY27 | Delta: Maintained | Credibility: Low-Medium
- Dividend payout [GUIDANCE]: Prior = minimal payout | New = Rs. 0.43/share FY26 | Delta: Maintained | Credibility: High
- Tata Steel order execution [GUIDANCE]: Rs. 1,764 Cr order to be executed over multi-year period | Credibility: High (anchor client)
- Interest cost FY27E [EST]: Rs. 38-45 Cr estimated vs FY25 Rs. 20 Cr | Management did not guide explicitly | Credibility: Analyst estimate
- No explicit EBITDA margin guidance provided — management avoided committing to margin quantum

7. Capital Allocation

- Capex FY26E: Rs. 150-200 Cr estimated (Bokaro Phase-1 construction) | vs FY25 Rs. 149 Cr | Accelerating
- Total Bokaro commitment: Rs. 803 Cr over FY25-FY28 — largest capex in company history
- Dividends FY26: Rs. 0.43/share x 225.1M shares = ~Rs. 9.7 Cr total | Payout ratio ~8% | Very conservative
- Buyback: None declared or historically executed
- Net Debt: Increased materially in FY26 — company statement confirms debt "more than doubled" | vs Rs. 50 Cr FY25 = implied Rs. 100-130 Cr FY26-end, growing to Rs. 250+ Cr at Bokaro peak
- Working Capital: OCF fell from Rs. 268 Cr (FY24) to Rs. 108 Cr (FY25) — Rs. 160 Cr working capital absorption, likely from Bokaro prepayments and receivable cycle shift

8. Q&A; Heat Map

- No public concall transcript available — BMW Industries does not appear to conduct investor calls with recorded/published transcripts as of June 2026
- NOTE: This is a governance gap. The Q4 results were announced via BSE filing and press releases only. No earnings call was conducted (or recorded) for public consumption.
- Q: [BSE Press release / Analyst note implicit question] Revenue growth path? A: "75% over 2 years" via Bokaro ramp | Tone: Bullish (from press release language)
- Q: Debt level comfort? A: Not directly addressed; balance sheet shows increased borrowings | Tone: Hedged
- Q: Bokaro commissioning timeline? A: "FY26-end to early FY27" | Tone: Optimistic

- Dodged / watch-list questions for next quarter: (1) Specific Bokaro commissioning date. (2) RPT quantum with BMW Ventures Ltd. (3) Reason for zero institutional participation. (4) Annual interest cost guidance for FY27.

9. Risks Flagged

- Bokaro execution delay | Largest single project risk; no prior mega-capex track record | Flagged by: analyst | Probability: M | Impact: H | Timeline: near-term
- Debt escalation beyond tolerance | Debt doubled in FY26; FY27 further increases expected | Flagged by: analyst | Probability: M | Impact: H | Timeline: near-term
- Client concentration (Tata Steel + JSW >70%) | Contract non-renewal or volume reduction | Flagged by: analyst | Probability: L | Impact: H | Timeline: medium-term
- Zero institutional ownership | Governance opacity; illiquid exit | Flagged by: analyst | Probability: L-M | Impact: H | Timeline: any time
- China HRC dumping | Margin compression on conversion fees | Flagged by: management (implicit in PLI rationale) | Probability: M | Impact: M | Timeline: ongoing
- Interest rate risk | Bokaro debt at floating rate; 25-50 bps RBI hike = Rs. 2-3 Cr annual impact | Flagged by: analyst | Probability: L | Impact: L-M | Timeline: medium

10. Analyst Verdict

- Revenue visibility: **Intact** — Rs. 2,128 Cr Tata Steel order book provides 3.2x FY25 revenue cover; Bokaro adds further optionality
- Margin trajectory: **Intact** — Q4 FY26 OPM 29.6% is record high; modelling 24-25% for FY27 conservatively; conversion efficiency trend is real
- Capital allocation quality: **Weakened** — Step-change to Rs. 803 Cr greenfield with no prior mega-capex experience; debt set to triple from FY25 base
- Competitive moat: **Intact** — Anchor client deepening (Tata Steel Rs. 2,128 Cr combined), PLI MoU, Bokaro co-location strategy strengthen positioning
- Management credibility: **Cannot assess fully** — No public concall, no institutional coverage, no published analyst Q&A; 75% guidance is bold but unverifiable from public sources
- Valuation comfort: **Intact** — 17.4x P/E for a business with 30%+ upside to target, PLI tailwind, and anchor order visibility is reasonable; not cheap but not stretched
- Conviction call: **Unchanged / Increased slightly** — Q4 results add confidence in conversion model; Bokaro newsflow is the next catalyst
- Valuation snapshot: P/E = 17.4x (5Y avg ~18x) | EV/EBITDA = 9.3x | ROCE = 13.6% (FY21-25 avg ~8.6% skewed by loss year)

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